

Amendment No. 1 to SB2102

Bailey
Signature of Sponsor

AMEND Senate Bill No. 2102*

House Bill No. 2592

by deleting all language after the enacting clause and substituting:

SECTION 1. Tennessee Code Annotated, Title 7, is amended by adding the following as a new chapter:

7-70-101.

As used in this chapter:

(1) "Electric utility" means a utility that:

(A) Provides only electric utility services to the public and is owned by a municipality; and

(B) Serves not less than fifty thousand (50,000) retail electric customers located outside the county in which the municipality that owns the utility is located;

(2) "Municipality" means an incorporated city or town or a county having a metropolitan form of government in this state;

(3) "Outside county":

(A) Means the county in which an outside locality is located; and

(B) Does not include the county in which the municipality that owns the electric utility providing such services is located;

(4) "Outside locality" means a political subdivision that:

(A) Receives electric utility services from an electric utility; and

(B) Is located outside of the municipal boundaries of the municipality that owns the electric utility providing such services;

(5) "Political subdivision" means an incorporated town or city, county, municipality, or metropolitan government of this state;

(6) "Retail electric customer" means a customer receiving electric utility services for end-use consumption; and

(7) "Utility board" or "board":

(A) Means the governing body of an electric utility; and

(B) Does not include the governing body of the municipality that owns the electric utility.

7-70-102.

(a) Notwithstanding another law to the contrary and except as provided under subsection (f), if an electric utility provides services to not less than three thousand five hundred (3,500) retail electric customers in an outside locality, then the municipality owning such electric utility must expand the electric utility's board to include one (1) additional voting board member on the utility's board for the outside county in which such outside locality is situated if the outside county chooses to appoint a person pursuant to subdivision (b)(1). This subsection (a):

(1) Only requires one (1) additional board member per outside county, regardless of the number of outside localities located within the outside county; and

(2) Does not permit a municipality to expand a board to include a board member from a county in another state.

(b)

(1) If an outside county that is entitled to appoint a board member pursuant to subsection (a) chooses to appoint a person, then the chief executive officer of the outside county for which an additional board position is added pursuant to subsection (a) shall appoint a person to fill the new position, subject

to approval by a majority vote of the governing legislative body of the outside county.

(2) The chief executive officer shall:

(A) Appoint a person who is a resident of the outside county and a retail electric customer of the electric utility; and

(B) Not appoint a person who is an employee or board member of another utility.

(c)

(1) If an electric utility's board is expanded pursuant to subsection (a), then the municipality owning the electric utility may, in consultation with the appointing chief executive officer, establish initial, staggered appointments of two (2) years to ensure consistent and experienced representation, followed by terms of four (4) years that begin on July 1 and end on June 30 of each applicable year; provided, that the first of such terms must be deemed to begin on July 1, 2026, or the July 1 following an electric utility's expansion of service into an outside locality.

(2) A board member may be reappointed for successive terms.

(3) A board member serves until their successor is selected and assumes office. In the event of a vacancy, the chief executive officer of the appointing county shall appoint a person in accordance with subdivisions (b)(1) and (2) to fill the vacancy for the remainder of the unexpired term.

(4) A board member appointed pursuant to this section is subject to the same removal process used for other board members of the utility board; provided, that the chief executive officer who appointed the board member must be given written notice no less than ten (10) business days before removal proceedings occur.

(d) A board member appointed pursuant to this section is not an employee of the municipality that owns or operates the electric utility and does not receive insurance or other benefits that are otherwise provided to employees of such political subdivision.

(e) Notwithstanding subsection (a), a municipality is not required to expand board membership for an outside county or outside locality if the board has already established such a membership position; provided, that this subsection (e) does not exempt the electric utility from the requirements of subsection (a) for another outside county or outside locality for which a voting board member position does not exist.

(f)

(1) This section does not authorize an electric utility to create additional board positions in excess of the membership limits imposed by another state law or private act other than the new board positions required by this section.

(2) This section does not require an outside county to appoint a person to a board member position or otherwise utilize the board member position to which the outside county is entitled under subsection (a).

(g) If an electric utility is governed by a utility board on the effective date of this act, then the utility must continue to be governed by a utility board. The governance of an electric utility described in this subsection (g) must not be changed from a utility board to the governing body of the municipality after the effective date of this act.

SECTION 2. This act takes effect upon becoming a law, the public welfare requiring it.